

General obligation bonds outstanding at June 30, 2025 are as follows:

Governmental Activities	Issue Date	Due Serially To	Interest Rates	Original Issue	Balance June 30, 2025
Refunding Bonds 2010 – Series A	March 16, 2010	2026	3.500%	\$ 114,940,000	\$ 7,480,000
Qualified School Construction Bonds – Series B	October 27, 2011	2031	4.349%	51,000,000	51,000,000
Refunding Bonds 2011 – Series C	October 27, 2011	2026	5.250%	164,015,000	4,590,000
Refunding Bonds 2013 – Series A	January 29, 2013	2028	5.000%	209,815,000	51,160,000
Public Improvement 2013 – Series B	February 20, 2013	2033	3.000%	100,000,000	40,000,000
School Bonds 2015– Series A	March 17, 2015	2035	3.000% - 5.000%	100,000,000	50,000,000
Refunding Bonds 2016 – Series A	October 12, 2016	2030	2.500% - 5.000%	148,565,000	31,075,000
Public Improvement 2016 – Series B	October 18, 2016	2036	2.000% - 5.000%	200,000,000	150,000,000
Public Improvement 2017 – Series A	September 12, 2017	2037	3.000% - 5.000%	225,000,000	184,000,000
Public Improvement 2018 – Series A	September 12, 2018	2039	3.000% - 5.000%	150,000,000	105,000,000
Public Improvement 2019	September 26, 2019	2040	2.250% - 5.000%	200,000,000	150,000,000
School Bonds 2021	March 18, 2021	2041	2.000% - 5.000%	225,000,000	180,000,000
School Bonds 2022	September 1, 2022	2043	3.250% - 5.000%	437,860,000	394,070,000
School Bonds 2025 - Series B	February 12, 2025	2045	4.000% - 5.000%	278,210,000	278,210,000
Total				\$ 2,604,405,000	\$ 1,676,585,000

Business-type Activities	Issue Date	Due Serially To	Interest Rates	Original Issue	Balance June 30, 2025
Solid Waste Bonds 2025 - Series A	February 11, 2025	2045	4.000% - 5.000%	\$ 41,765,000	\$ 41,765,000

Annual debt service requirements to maturity for general obligation bonds are as follows:

Fiscal Year Ending June 30	Governmental Activities	
	Principal	Interest
2026	\$ 138,800,000	\$ 66,105,849
2027	118,400,000	60,194,853
2028	113,705,000	54,542,103
2029	107,135,000	49,303,353
2030	107,050,000	44,376,546
2031-2035	580,775,000	148,413,370
2036-2040	364,250,000	60,305,625
2041-2045	146,470,000	12,511,200
Total	\$ 1,676,585,000	\$ 495,752,899
Fiscal Year Ending June 30	Business-type Activities	
	Principal	Interest
2026	\$ 2,090,000	\$ 1,908,618
2027	2,090,000	1,858,650
2028	2,090,000	1,754,150
2029	2,090,000	1,649,650
2030	2,090,000	1,545,150
2031-2035	10,450,000	6,158,250
2036-2040	10,440,000	3,546,000
2041-2045	10,425,000	1,251,000
Total	\$ 41,765,000	\$ 19,671,468

The County is subject to the Local Government Bond Act of North Carolina, which limits the amount of net bonded debt (exclusive of funding and refunding bonds, bonds issued for water, gas, or electric power purposes, and bonds issued for certain other specified purposes) the County may have outstanding up to 8% of the appraised value of

be given that the proceeds will be sufficient to pay the principal and interest due and no deficiency judgement can be rendered against the County if the proceeds are not sufficient to pay off the bonds.

Installment financings outstanding at June 30, 2025 are as follows:

Governmental Activities	Issue Date	Due Serially To	Interest Rates	Original Issue	Balance June 30, 2025
2013 Taxable Limited Obligation Bonds	March 13, 2013	2028	3.300% - 3.500%	\$ 18,115,000	\$ 4,280,000
2015 Limited Obligation Refunding	April 30, 2015	2028	3.000% - 5.000%	120,025,000	27,220,000
2017 Limited Obligation Refunding	September 30, 2017	2028	5.000%	119,135,000	19,215,000
2025 Limited Obligation Bonds	February 18, 2025	2045	4.000% - 5.000%	230,410,000	230,410,000
Total				\$487,685,000	\$ 281,125,000

Business-type Activities	Issue Date	Due Serially To	Interest Rates	Original Issue	Balance June 30, 2025
NC Clean Water State Revolving Loan	April 11, 2011	2030	-	\$ 996,663	\$ 262,280

Annual debt service requirements to maturity for installment financings are as follows:

Governmental Activities	Other	
Fiscal Year	Principal	Interest
2026	\$ 29,070,000	\$ 12,594,626
2027	28,270,000	11,734,625
2028	23,600,000	10,552,325
2029	15,865,000	9,439,825
2030	11,520,000	8,755,200
2031-2035	57,600,000	35,136,000
2036-2040	57,600,000	20,736,000
2041-2045	57,600,000	7,027,200
Total	\$ 281,125,000	\$ 115,975,801

Business-type Activities	Direct Borrowing	
Fiscal Year	Principal	Interest
2026	\$ 52,456	\$ -
2027	52,456	-
2028	52,456	-
2029	52,456	-
2030	52,456	-
Total	\$ 262,280	\$ -

\$319,574,865 of governmental activities debt outstanding at June 30, 2025 relates to assets of the County. Unspent bond proceeds related to this debt were \$84,515,570 and unamortized refunding charges were \$968,247 at June 30, 2025.

8. Leases and Subscription-Based Information Technology Arrangements

a. Leases:

Lessee

The County has entered into lease arrangements for buildings, land, vehicles, other asset, and equipment. The lease contracts expire at various dates through 2032. The right to use assets are intangible assets and are recorded in capital assets as building, equipment, land, other asset and vehicle leases as noted in Note 5.

The following represents the future minimum lease payments for governmental and business-type required under the lease arrangements as of June 30:

Year Ending June 30,	Governmental Activities		
	Principal	Interest	Total
2026	\$ 2,638,279	\$ 174,956	\$ 2,813,235
2027	2,282,263	118,526	2,400,789
2028	2,285,443	66,541	2,351,984
2029	1,115,170	16,048	1,131,218
2030	40,040	147	40,187
	\$ 8,361,195	\$ 376,218	\$ 8,737,413

Year Ending June 30,	Business-Type Activities		
	Principal	Interest	Total
2026	\$ 65,795	\$ 15,242	\$ 81,037
2027	70,369	13,099	83,468
2028	75,165	10,807	85,972
2029	80,192	8,359	88,551
2030	85,461	5,747	91,208
2031-2032	90,981	2,963	93,944
	\$ 467,963	\$ 56,217	\$ 524,180

Lessor

The County has entered into fifteen arrangements to lease buildings and land owned by the County to others. The lease contracts expire at various dates through 2098. During 2025, the County received \$1,202,550 in lease revenue which represents the total amount of inflows of resources in the reporting period from leases. Lease revenue is reported with other revenue in the statement of revenues.

b. Subscription-Based Information Technology Arrangements

The County has entered into thirty-eight software subscription arrangements. The subscription contracts expire at various dates through 2030. The right to use assets are intangible assets and are recorded in capital assets as software subscription assets as noted in Note 5.

The following represents the future minimum subscription payments required under the subscription arrangements as of June 30:

Year Ending June 30,	Governmental Activities		
	Principal	Interest	Total
2026	\$ 3,822,658	\$ 185,508	\$ 4,008,166
2027	2,265,714	90,918	2,356,632
2028	1,041,156	28,708	1,069,864
2029	314,296	4,730	319,026
2030	25,191	309	25,500
	\$ 7,469,015	\$ 310,173	\$ 7,779,188

Year Ending June 30,	Business-Type Activities		
	Principal	Interest	Total
2026	\$ 68,626	\$ 4,274	\$ 72,900
2027	70,731	2,169	72,900
	\$ 139,357	\$ 6,443	\$ 145,800

9. Transfers, Interfund Receivables and Payables

The following is a summary of interfund transfers at June 30, 2025:

Transfers Out:	Transfers In:			
	General	Pay-As-You-Go Capital Funding	Nonmajor Funds	Total
General Fund	\$ -	\$ -	\$ 22,204,420	\$ 22,204,420
Debt Service Fund	-	277,850,962	56,357,632	334,208,594
American Rescue Plan Act Fund	1,877,799	-	1,784,992	3,662,791
Nonmajor Funds	390,204	-	-	390,204
Total	\$ 2,268,003	\$ 277,850,962	\$ 80,347,044	\$ 360,466,009

The transfers consist primarily of the following: (a) Transfer of \$21,204,420 to the Affordable Housing Fund from the General Fund to be utilized for expenditures related to housing security and a \$1,000,000 transfer from the General Fund to the Reval Reserve Fund as an annual contribution to fund the upcoming fiscal year 2027 property revaluation, (b) \$56,357,632 in transfers from the Debt Service Fund to Nonmajor Capital Project Funds such as the Technology Reserve Fund, Capital Reserve Fund, Capital Maintenance Fund, and Vehicle Reserve Fund to be utilized for technology, capital expenditures, capital maintenance expenditures, and vehicle replacements in the current and subsequent fiscal years. (c) \$277,850,962 transferred from the Debt Service Fund to Pay-As-You-Go Capital Fund will be used to finance capital improvement projects such as replacement of vehicle fleets, heavy equipment, and roof replacements without the need to issue bonded debt and reducing debt service costs. (d) \$3,662,791 transferred from the American Rescue Plan Act Fund, with \$1,877,799 in investment earnings transferred to the General Fund and \$1,784,992 transferred to the General Grants Special Revenue Fund to provide additional funding for Mecklenburg County's Facility Based Crisis Center with the goals of stabilizing people in crisis, decreasing emergency department use, and reducing psychiatric boarding.

The following is a summary of interfund receivables and payables at June 30, 2025:

	Due from other funds	Due to other funds
General Fund	\$ -	\$ 4,347,360
Internal Service Funds	4,347,360	-
School Bond Fund	-	14,030,650
Nonmajor Funds	-	394,200
Pay-As-You-Go Capital Funding	14,030,650	-
Solid Waste Enterprise Fund	394,200	-
Total	\$ 18,772,210	\$ 18,772,210

The balances represent lending/borrowing arrangements resulting from the timing of expenditures versus the receipt of revenues.